



Gavin Newsom, Governor
State of California
Health and Human Services Agency
DEPARTMENT OF MANAGED HEALTH CARE
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May 27, 2026

VIA ELECTRONIC MAIL

Evan Escobar
Blue Cross of California
1121 L Street, Suite 500
Sacramento, CA 95814

Re: Proposed Contract Termination with Valley Children's Hospital
Block Transfer Filing No. 2026-HOSP-293
Filed on March 17, 2026

Dear Mr. Evan Escobar:

The Department of Managed Health Care (Department) is reviewing the information in the above-referenced Block Transfer Filing (Filing) submitted by **Blue Cross of California** (Plan) for compliance with the requirements of the Knox-Keene Health Care Service Plan Act of 1975, as amended (Cal. Health & Safety Code § 1340 *et seq.*) and the regulations promulgated thereunder (Cal. Code Regs., Tit. 28, § 1000 *et seq.*).

In the event of contract termination, the Filing proposes to remove **Valley Children's Hospital** (Terminating Hospital) from the Plan's hospital network. The effective date of contract termination between the Terminating Hospital and the Plan (Termination Date) is currently **July 1, 2026**.

Please review the following comments and feel free to contact me if you would like to discuss any of the issues before filing the Plan's response.

1. Please provide the Department with updates to the contract termination date, enrollee notice transfer mailing date, and transition date for this Filing, if any. **The Plan and Valley Children's Hospital remain engaged in active negotiations. The parties have agreed to a two-week extension through July 15, 2026, to allow time to finalize contract documents for execution.**
2. For Provider Group, LaSalle Medical Associates the Plan confirms there are 91,823 assigned enrollees. Please confirm, summarize, or provide the following:

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- a. The product type, The 91,823 assigned enrollees attributed to LaSalle Medical Associates are enrolled in the Anthem Blue Cross Medi-Cal managed care product.
 - b. Whether LaSalle Medical Associates has routine access to the Terminating Hospital, The Plan is validating whether LaSalle Medical Associates has routine access to the Terminating Hospital and will provide confirmation upon completion of that review.
 - c. The pending contract termination impacts 50,000 or more enrollees, please submit the relevant portions of the Provider Contract(s) that relate to continuity of care and transition of care. Because the filing identifies 91,823 assigned enrollees associated with LaSalle Medical Associates, the impact exceeds 50,000 enrollees. The Plan will submit the relevant provisions of the applicable provider contract(s) addressing continuity of care and transition of care.
3. For each affected provider group that utilizes the Terminating Hospital, please summarize or confirm the following:
 - a. Whether the provider group expressed concerns, To date, the affected provider groups have not expressed concerns to the Plan regarding the pending termination.
 - b. Whether the provider group has routine access to the Terminating Hospital, The Plan is validating whether the affected provider groups have routine access to the Terminating Hospital and will provide additional information upon completion of that review.
 - c. The ability of the provider group to redirect enrollees to the Alternate Hospitals: The Plan is evaluating the ability of affected provider groups to redirect enrollees to the identified Alternate Hospitals following the termination. Approximately 30 days prior to the termination effective date, the Plan will assess provider admitting privileges, specialty coverage, and hospital access arrangements, including the use of hospitalists where applicable, and will provide the requested information upon completion of that review.
 - i. Whether there is any specialty for which all of the associated specialists have admitting privileges **only** at the Terminating Hospital and not at any of the Alternate Hospitals,
 1. If yes, please identify the specialty and explain how Plan enrollees assigned to the provider group will receive care and services for that specialty following contract termination.
 - ii. If the provider group does not have any primary care physicians or specialists with admitting privileges to one or more Alternate Hospitals, please explain how its assigned enrollees will be admitted to the Alternate Hospital(s) (e.g. via hospitalists, Plan admission process, etc.).
 1. If hospitalists are utilized, please indicate:

- a. The name of the group,
 - b. The number of associated hospitalists, and
 - c. If the hospitalists can admit enrollees for any medically necessary services.
4. Please confirm whether there are enrollees who have a residence or workplace within 15 miles or 30 minutes of a contracted hospital prior to termination, but would have a residence or workplace beyond 15 miles or 30 minutes of a contracted hospital post-termination. The Plan will conduct an access review approximately 30 days prior to the termination effective date to identify any enrollees who, as a result of the termination, would have a residence or workplace beyond the applicable time and distance standards from a contracted hospital. The Plan will provide the requested information upon completion of that review.
5. Please confirm whether the Terminating Hospital offers Tertiary or Quaternary Care Services, Cancer Services, and Burn Services. If yes, please confirm which Alternate Hospital(s) provides each service(s). The Plan has confirmed that Valley Children's Hospital provides pediatric cancer-related services through its Cancer and Blood Disorders Center. The Plan is validating whether the Terminating Hospital is designated as providing Tertiary Care Services, Quaternary Care Services, and Burn Services, as well as the availability of such services at the identified Alternate Hospitals, and will provide additional information upon completion of that review.
6. The Plan indicates the Terminating Hospital is a transplant center. Please provide the following:
 - a. Number of affected enrollees who have or are currently receiving transplant-related services, The Plan will conduct a review approximately 30 days prior to the termination effective date to identify any enrollees who have received or are currently receiving transplant-related services at the Terminating Hospital and will provide the requested information upon completion of that review.
 - b. A list of transplant patients (no patient names, just number of patients) identifying the type of transplant, and the stage of the transplant (e.g. undergoing evaluation, on a transplant waiting list, scheduled for procedure or receiving post-transplant care), Approximately 30 days prior to the termination effective date, the Plan will review transplant-related utilization to identify affected enrollees, transplant type, and stage of care, and will provide the requested information upon completion of that review.
 - c. Confirmation that current and future transplant enrollees will be able to continue receiving services through the Plan at the Terminating Hospital following contract termination pursuant to agreed upon contractual terms, or Approximately 30 days prior to the termination effective date, the Plan will review transplant-related utilization to identify affected enrollees,

transplant type, and stage of care, and will provide the requested information upon completion of that review

- d. If no contract in 6.d. exists, confirmation that the Plan has considered allowing affected enrollees in the transplant process to continue to receive those services at the Terminating Hospital, and the reasons for the Plan's decision, if one has been reached. In the absence of a fully executed agreement at that time, the Plan will evaluate affected transplant enrollees and applicable continuity-of-care considerations approximately 30 days prior to the termination effective date and will provide the requested information upon completion of that review.
7. Please identify the number of enrollees who have a procedure scheduled and authorized by the Plan at the Terminating Hospital post-termination. The Plan will conduct a review of authorized and scheduled procedures at the Terminating Hospital approximately 30 days prior to the termination effective date to identify any impacted enrollees. The Plan will work with affected enrollees and providers, as appropriate, to ensure continuity of care and will provide updated information upon completion of that review.

Please submit the Plan's response by **May 29, 2026**, via the Block Transfer portal as a "Response to Additional Comment Letter."

Please contact me if there are any questions regarding the above.

Sincerely,



Cindy Nguyen
Analyst II
Office of Plan Monitoring